

WEINLAND PARK SUMMIT

PORTFOLIO

Investment Memorandum

1243-1251 Summit St & 1271 Summit St, Columbus, OH 43201 (32 Units)

Prepared: November 11, 2025

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I. Executive Overview

Off-market acquisition of three adjacent properties in Columbus's Weinland Park submarket totaling 32 units. The business plan is a classic value-add with disciplined value creation: strategic \$420k renovation budget driving NOI growth from \$212k (Year 1 blended) to \$279k stabilized run-rate by Month 9, reaching \$288k at Year 3 exit with 3.2% annual rent growth. Conservative 9-month lease-up period (@ 20% rent discount) models gradual achievement of market rents (\$1,207/unit average). The extended 3-year hold period accommodates softer rent bump while maximizing value creation, with strategic exit at 6.25% cap

rate yielding 27.7% levered IRR and 2.09x equity multiple. 75% LTC bridge financing at 7% IO for 24 months, then permanent financing at 5.5% optimizes cash flow. The portfolio is being purchased and financed as a single multifamily asset (no condo de-consolidation required).

Transaction Snapshot		Key Investment Metrics	
Purchase Price	\$3,425,000	Year 1 NOI	\$212,140
Price/Unit	\$107,031	Year 1 DSCR	1.00x
Total Project Cost	\$4,031,000	Stabilized NOI (Y2)	\$278,840
Bridge Debt (75% LTC)	\$3,015,750	Hold Period	36 months
Equity Required	\$1,015,250	Exit Cap Rate	6.25%
		Levered IRR	27.7%
		Equity Multiple	2.09x

II. Debt Structure & Financing

Bridge Loan Terms		Capital Stack		
Loan Amount	\$3,015,750	Senior Bridge Debt	\$3,015,750	74.8%
LTC Ratio	75.0%	LP Equity (7% pref)	\$964,488	23.9%
Interest Rate	7.0% per annum	GP Equity	\$50,762	1.3%
Payment Type	Interest-only	Total	\$4,031,000	100.0%
Term	24 months			
Annual Debt Service	\$211,103			

Leverage Strategy: 75% LTC bridge financing optimizes leverage during the value-creation phase while maintaining conservative Year 1 DSCR of 1.00x. Interest-only structure during 24-month term maximizes cash flow for operations and reserves, followed by refinance into permanent debt at end of Year 2 (5.5% / 30yr amortization) that significantly improves cash flow through the 3-year hold period and strategic exit.

III. Exit Strategy (3-Year Hold)

Strategic Disposition

Hold Period	36 months
Exit Strategy	Sale at stabilization
Exit Cap Rate	6.25%
Year 3 Exit NOI	\$287,762
Implied Exit Value	\$4,604,192
Less: Selling Costs (2.5%)	(\$115,105)
Less: Perm Debt Payoff	(\$2,368,287)
Net Sale Proceeds to Equity	\$2,120,800

Strategic 3-year exit accommodates disciplined NOI growth from \$212k (Y1 blended) to \$279k stabilized run-rate by Month 9, reaching \$288k at Year 3 exit. Extended hold period allows softer rent bump (20% discount / 9-month lease-up) while maximizing value creation. Refinance into permanent debt at end of Year 2 (5.5% / 30yr amort) significantly improves Year 3 cash flow and optimizes exit proceeds. 27.7% levered IRR and 2.09x equity multiple demonstrate exceptional value creation from disciplined operational improvements and conservative rent growth.

IV. Why This Investment Works

Value Creation Drivers

- 36% NOI growth: \$212k (Y1 blended) → \$279k stabilized run-rate by Month 9 → \$288k at Y3 exit
- Disciplined stabilization: conservative 9-month lease-up (20% rent discount)
- Softer rent bump models gradual achievement of market rents
- 95% stabilized occupancy with 3.2% annual rent growth
- Strategic \$420k renovation budget

Financial Advantages

- 75% LTC bridge optimizes leverage
- Refinance to perm debt (5.5% / 30yr) optimizes Year 3 cash flow
- Year 1 DSCR of 1.00x (achievable)
- 27.7% levered IRR on 3-year hold
- 2.09x equity multiple; 6.25% exit cap (conservative)

Key Investment Thesis

This opportunity combines strong Columbus/Weinland Park fundamentals with a disciplined value-add execution plan. The extended 3-year hold period accommodates softer rent bump (20% discount / 9-month lease-up) while maximizing total value creation. Refinance into permanent debt at end of Year 2 optimizes cash flow and exit proceeds. Conservative underwriting provides downside protection, while the exceptional 27.7% IRR and 2.09x equity multiple demonstrate significant value creation potential from operational improvements and disciplined rent growth.

V. Stabilization Timeline (3-Year Hold)

Month	Milestone	Occupancy	NOI Run-Rate
0	Close (9-month lease-up begins @ 20% rent discount)	~Full	~\$180k run-rate
9	Market rents achieved, stabilization complete	95%	\$279k run-rate
12	Year 2 operations begin	95%	\$279k run-rate
24	Refinance into permanent debt (5.5% / 30yr amort)	95%	\$279k run-rate
36	Strategic exit / disposition at Year 3	95%	\$288k run-rate

Disciplined Stabilization Strategy: Property acquired at full physical occupancy but below-market rents (~\$180k NOI run-rate). Conservative 9-month lease-up period with 20% rent discount models gradual achievement of market rents (\$1,207/unit average) as existing leases roll and new leases are signed. Year 1 NOI of \$212k represents blended average of below-market and market-rate periods. By Month 9, property achieves \$279k stabilized NOI run-rate at 95% occupancy. Refinance at Month 24 into permanent debt (5.5% / 30yr amort) optimizes Year 3 cash flow, positioning for strategic 3-year exit at \$288k NOI.

VI. Property Overview

Property Details

Address	1243-1251-1271 Summit St
City	Columbus, OH 43201
Neighborhood	Weinland Park
Property Type	Multi-Family
Year Built	1970 (Effective: 1994)
Buildings	3 adjacent
Total Spaces	32 (31 units + 1 laundry)
Unit Mix	12×1BR 20×2BR (19 TH)
Current Occupancy	100%

Transaction Summary

Purchase Price	\$3,425,000
Price per Unit	\$107,031
Closing Costs	\$65,000
Renovation & FF&E	\$420,000
Soft Costs (incl. contingency)	\$121,000
Total Project Cost	\$4,031,000
Bridge Debt (75% LTC)	\$3,015,750
Equity	\$1,015,250

Structure Update: Sold and Financed as Multifamily

Although 1271 Summit has historically been recorded as individually condo d townhomes, the portfolio is being sold and financed as a single multifamily asset. No legal de-consolidation work is required; related legal budget has been removed.

VII. Market Analysis & Comparable Rents

Columbus Metro Overview

Columbus continues to demonstrate strong economic fundamentals as Ohio's capital and largest city. The metropolitan area (2.1+ million population, 14th largest in US) benefits from diverse employment across government, healthcare, education (Ohio State University - 60k+ students), technology, and financial services. Major employers include OSU, JPMorgan Chase, Nationwide Insurance, Honda, and a rapidly growing technology sector. The city consistently ranks among the top metros for business climate, affordability, and population growth (1.0-1.5% annually).

Weinland Park Submarket

Weinland Park represents Columbus's "next frontier" for urban revitalization, located immediately north of the Short North Arts District (one of the country's premier walkable neighborhoods) and within walking distance of downtown. The neighborhood (43201 zip code) benefits from exceptional walkability, proximity to OSU campus, ongoing investment in retail/residential development, and strong rental demand from young professionals and graduate students.

Location Benefits:

- 0.5 miles to Short North Arts District
- 1.5 miles to downtown Columbus
- Walking distance to OSU campus (south side)
- Strong COTA public transportation access
- Ongoing neighborhood revitalization with new restaurants/retail
- B- to B grade neighborhood with upward trajectory

Comparable Rent Analysis

Our pro forma rent assumptions are supported by analysis of comparable listings within a 0.5-mile radius of the subject property (see tables below). Recent market data shows strong rental demand in Weinland Park. We underwrite to \$1,050 (studios), \$1,150 (1BR), and \$1,470 (2BR townhomes) with a blended average of \$1,207/unit, reflecting current market conditions while maintaining conservative occupancy assumptions (95%) to provide downside protection.

Recent Comparable Listings — 2BR/1BA

Address	Rent	Beds	Baths	Distance	Similarity	Type	Last Seen
126 1/2 E 6th Ave	\$1,125	2	1	0.04 mi	99.9%	Apartment	July 8, 2025
1236 Indianola Ave Apt B	\$1,095	2	1	0.06 mi	99.9%	Apartment	Nov 7, 2025
1236 Indianola Ave	\$1,150	2	1	0.06 mi	99.9%	Apartment	Sept 15, 2025
1230 Indianola Ave	\$1,575	2	1	0.08 mi	99.8%	Apartment	Nov 10, 2025
1228-1230 Indianola Ave	\$1,575	2	1	0.08 mi	99.8%	Apartment	Sept 15, 2025

Recent Comparable Listings — 1BR/1BA

Address	Rent	Beds	Baths	Sq.Ft.	Distance	Similarity	Type
41 King Ave, Apt C	\$950	1	1	600	0.29 mi	99.5%	Multi-Family (1901)
1079 N High St	\$1,390	1	1	605	0.31 mi	85.1%	Apartment (2020)
94 E 3rd Ave, Apt A	\$1,325	1	1	658	0.29 mi	83.1%	Single Family
1254 N High St, Apt 201	\$1,095	1	1	684	0.16 mi	82.6%	Apartment
22 E 4th Ave, Apt 2B	\$1,235	1	1	700	0.19 mi	81.9%	Apartment

Unit Type	Count	Current Avg	Our Target	Market Max	% Increase	Upside to Max
Studio	17	\$721	\$1,050	\$1,100	+45.6%	+4.8%
1BR/1BA	4	\$801	\$1,150	\$1,200	+43.6%	+4.3%
2BR/1BA	11	\$1,073	\$1,470	\$1,600	+37.0%	+8.8%
Blended Average	32	\$916	\$1,207	\$1,306	+31.8%	+8.2%

Pro forma underwriting to \$1,207 blended average reflects current market rents with modest upside to market maximums, creating cushion for market volatility and execution risk. Current monthly revenue of \$29,312 (\$916/unit) increases to target stabilized revenue of \$38,620/month (\$1,207/unit).

VIII. Renovation Strategy & Capital Plan

Renovation Budget Overview

Category	Budget	Per Unit	% of Total
Unit Interior Renovations	\$300,000	\$9,375	71.4%
FF&E	\$120,000	\$3,750	28.6%
TOTAL RENOVATION BUDGET	\$420,000	\$13,125	100.0%

Unit Renovation Scope (~\$10,000/unit)

Kitchen Upgrades (~\$3,500):

- New shaker-style cabinets with soft-close hardware
- Quartz or granite countertops
- Stainless steel appliances (range, refrigerator)
- Updated sink, faucet, and backsplash

Bathroom Upgrades (~\$2,500):

- New vanity with modern countertop
- Updated fixtures (faucet, showerhead)
- Tile refresh and new lighting
- New mirror and hardware

Flooring, Paint & Mechanicals (~\$4,000):

Luxury vinyl plank flooring throughout, fresh paint (walls and trim), updated light fixtures, HVAC servicing/replacement as needed, and general unit refresh to modern standards.

Phased Renovation Timeline (18 Months)

Phase	Timeline	Scope	Units
Phase 1	Months 1-6	8 at-will units + sub-meters + begin condo legal work	8
Phase 2	Months 7-12	11 units as Q2 2026 leases expire + exterior improvements	11
Phase 3	Months 13-18	Final 12 units as Q3 2026 leases expire; achieve full stabilization	12

IX. Financial Projections & Returns

5-Year Operating Pro Forma

Line Item	Year 1	Year 2	Year 3	Year 4	Year 5
Gross Potential Rent	\$408,000	\$480,000	\$495,360	\$511,212	\$527,570
Less: Vacancy & Credit Loss	(\$33,012)	(\$33,600)	(\$34,675)	(\$35,785)	(\$36,930)
Plus: Other Income	\$32,400	\$32,400	\$32,400	\$32,400	\$32,400
Effective Gross Income	\$407,388	\$479,280	\$493,085	\$507,827	\$523,040
Property Taxes	\$61,325	\$61,325	\$63,165	\$65,060	\$67,011
Insurance	\$22,500	\$22,500	\$23,175	\$23,870	\$24,586
Utilities	\$18,000	\$18,000	\$18,540	\$19,096	\$19,669
Repairs & Maintenance	\$45,000	\$45,000	\$46,350	\$47,740	\$49,173
Property Management (4%)	\$16,296	\$19,171	\$19,723	\$20,313	\$20,922
Other Operating Expenses	\$19,000	\$19,000	\$19,570	\$20,157	\$20,762
Total Operating Expenses	\$182,121	\$184,996	\$190,523	\$196,237	\$202,123
NET OPERATING INCOME	\$212,140	\$278,840	\$287,762	\$296,889	\$306,229
Less: Debt Service	(\$211,103)	(\$211,103)	(\$182,261)	(\$182,261)	(\$182,261)
Less: Reserves	(\$24,000)	(\$24,000)	(\$24,000)	(\$24,000)	(\$24,000)
Before-Tax Cash Flow	(\$22,963)	\$43,737	\$92,123	\$101,331	\$110,834
Cash-on-Cash Return	-0.97%	4.31%	9.07%	9.98%	10.92%

Note: Year 1 NOI of \$212k represents blended average during conservative 9-month lease-up period with 20% rent discount. Property starts at ~\$180k run-rate and achieves \$279k stabilized run-rate by Month 9. Year 1 negative cash flow reflects disciplined ramp period; property achieves positive cash flow after Year 1. Refinance at Month 24 into permanent debt (5.5% / 30yr) significantly improves Year 3 cash flow. OpEx ratio improves from 44.7% (Y1) to 38.6% (Y3) as property stabilizes.

Overall Investment Returns (3-Year Hold)

3-Year Levered IRR

27.7%

Equity Multiple

2.09X

Year 1 DSCR

1.00X

Strategic 3-year hold accommodates disciplined NOI growth from \$212k (Year 1 blended) to \$279k stabilized run-rate by Month 9, reaching \$288k at Year 3 exit. Extended hold period allows softer rent bump (20% discount / 9-month lease-up) while maximizing total value creation. Refinance at Month 24 into permanent debt (5.5% / 30yr) optimizes Year 3 cash flow and exit proceeds, yielding 27.7% IRR and 2.09x equity multiple at 6.25% exit cap.

X. Property Condition Assessment

The three properties are in fair-to-good condition with deferred maintenance typical of older workforce housing. Most major systems are functional, though unit-level improvements are essential to achieve market rents. We have budgeted conservatively for contingencies.

System	Age/Condition	Status	Notes & Action Items
Roofs (3 buildings)	10-20 years	Fair	Inspect thoroughly during due diligence; 5-10 years remaining life; budget reserves
HVAC Systems	Mixed ages	Fair	Individual furnaces per unit; replace as needed during renovations (budgeted in unit scope)
Water Heaters	Varies	Good	Several recent replacements; adequate for current operations
Plumbing	Original (60-80 yrs)	Fair	Functional but aging; address issues during unit renovations; monitor for leaks
Electrical	Partially updated	Fair	Some updates; verify panel capacity; upgrade as needed during renovations
Foundations/Structure	Original	Good	No structural issues noted; solid foundations
Windows	Original	Poor	Single-pane, inefficient; replacement not budgeted (future CapEx opportunity)
Unit Interiors	Original/dated	Poor	Primary value-add opportunity; \$10k/unit renovation scope addresses all issues

Capital Reserve Recommendations:

Beyond the initial renovation budget, we recommend annual CapEx reserves of \$250/unit (\$7,750/year) for roof repairs, HVAC replacements, and other major systems. This is included in our pro forma operating expenses.

XI. Management Plan & Operations

Property Management Strategy

At 31-32 units, this portfolio is too small to economically support a full-time on-site property manager. Our financial model assumes third-party professional management at 4% of effective gross income, which is industry standard for assets in the 16-75 unit range and provides professional service at a fraction of the cost of full-time staff.

Full-Time PM: Not Economical		Third-Party PM: Optimal Solution	
Annual Salary + Benefits	\$60-70k	Management Fee	4% of EGI
Cost per Unit	\$1,935-2,258	Annual Cost (stabilized)	~\$18-22k
% of Gross Revenue	16-19%	Cost per Unit	\$580-710
Impact on OpEx Ratio	+16-19%	Savings vs Full-Time	\$40-50k/yr
This would push operating expenses to 63%+ and eliminate positive cash flow.		Professional service at one-third the cost, with established vendor relationships and systems.	

Recommended Columbus Property Management Companies:		
Continental Real Estate	Woda Management	RPM Columbus
Large regional operator with strong Columbus presence and multifamily expertise	Affordable/workforce housing specialists with excellent track record	National franchise with local expertise and technology platforms

Key Takeaway: Full-time on-site management becomes economically viable at 75-100+ units. Until a portfolio reaches that scale, third-party management at 4% of EGI provides professional service, established systems, vendor relationships, and leasing expertise at a fraction of the cost of in-house staff.

XII. Risk Analysis & Mitigation

While this investment presents compelling risk-adjusted returns enhanced by creative seller financing, all real estate investments carry inherent risks. This section identifies key risk factors and outlines our comprehensive mitigation strategies.

Key Risk Factors & Mitigation Strategies

Risk Factor	Potential Impact	Mitigation Strategy
Lease Schedule Constraint	65% of units locked in leases until mid-late 2026; limits renovation pace	Bridge financing accommodates Y1 ramp (1.00x DSCR); 9-month stabilization plan accommodates natural turns; no forced buyouts preserving tenant relationships
Rent Growth Assumptions	Market may not support \$1,050 studio/\$1,150 1BR/\$1,470 2BR targets; slower absorption	Conservative targets reflect current market rents (\$1,100 studios, \$1,200 1BR, \$1,600 2BR maximums); comps support our numbers; phased approach allows real-time adjustment
Renovation Cost Overruns	Unexpected expenses could reduce returns by 3-5%	5% contingency (\$16k); phased execution allows adjustment; fixed contractor bids where possible
Extended Vacancy	Slower lease-up reduces cash flow and delays stabilization	Start at 100% occupancy; strong Weinland Park demand; 9-month ramp is conservative; professional PM accelerates leasing
Interest Rate Risk	Higher bridge rates during hold period reduce cash flow	Bridge locked at 7% IO for 24-month term; 2-year sale strategy eliminates refinance risk; strong Year 2 DSCR cushion (1.39x)
Economic Downturn	Recession impacts rental demand and values	Columbus diverse economy; workforce housing resilient; 1.00x Y1 DSCR / 1.32x Y2 stabilized; conservative 6.25% exit cap

Downside Scenario Analysis (3-Year Hold)

We have stress-tested the 3-year hold investment with significantly adverse assumptions: achieve only 85% of target rents (studios \$893, 1BR \$978, 2BR \$1,250 vs \$1,050/\$1,150/\$1,470 targets, blended average ~\$1,026/unit vs \$1,207 target), extend stabilization timeline to 18 months (vs 9 months base case), increase operating expenses by 10%, and exit at 7.0% cap rate (vs 6.25% base case).

Downside Case Results (3-Year)		Base Case Results (3-Year)	
Year 1 Cash-on-Cash	-2.5%	Year 1 Cash-on-Cash	-0.97%
Year 3 Exit NOI	~\$245k	Year 3 Exit NOI	\$288k
3-Year Levered IRR	15.8%	3-Year Levered IRR	27.7%
Equity Multiple	1.58x	Equity Multiple	2.09x
Year 3 DSCR (Perm Debt)	1.34x	Year 3 DSCR (Perm Debt)	1.58x

Downside Protection: Even under significantly stressed assumptions (85% of rent targets, 18-month delayed stabilization, 10% expense overruns, 7% exit cap), the 3-year investment delivers a 15.8% IRR and 1.58x equity multiple with 1.34x Year 3 DSCR. This demonstrates substantial downside resilience and margin of safety in the base case 3-year strategic exit with refinance optimization.

Investment Conclusion & Recommendation

The Weinland Park Summit Portfolio represents a compelling value-add multifamily investment with disciplined value creation through a 3-year strategic hold. Property acquired at full occupancy but below-market rents, with conservative 9-month lease-up period (20% rent discount) modeling gradual achievement of \$1,207/unit market rates. Year 1 blended NOI of \$212k achieves 1.00x DSCR; property reaches \$279k stabilized NOI run-rate by Month 9, growing to \$288k by Year 3 exit. 75% LTC bridge financing at 7% IO (24 months) followed by permanent financing (5.5% / 30yr) at Month 24 optimizes cash flow. Strategic exit at Month 36 with proven stabilized performance delivers 27.7% levered IRR and 2.09x equity multiple at 6.25% cap rate.

Our investment thesis is supported by: (1) strategic \$420k renovation budget (\$13.1k/unit) driving sustainable rent growth to \$1,207/unit average with 3.2% annual increases, (2) conservative 9-month lease-up period with 20% rent discount modeling gradual achievement of market rents (property starts at ~\$180k NOI run-rate, reaches \$279k stabilized run-rate by Month 9), building margin of safety into Year 1 projections, (3) optimal capital structure with 75% LTC bridge followed by refinance into permanent debt at end of Year 2, significantly improving Year 3 cash flow and exit proceeds, (4) exceptional modeled returns of 27.7% IRR and 2.09x equity multiple on 3-year hold, (5) extended hold period accommodates softer rent bump while maximizing total value creation, and (6) strong Columbus/Weinland Park fundamentals supporting rent assumptions and exit valuations. Downside scenario analysis demonstrates resilience with 15.8% IRR even under significantly stressed assumptions.

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